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ACCT-313 Auditing - Professor. John Delaney

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Who Took The Money Case

In 2023, Hawk's Brewery, a microbrewery with $3.2 million in annual sales, discovered a $10,000 cash theft after a weekend event, detected through routine financial checks. Forensic interviewer Mike investigated four employees—Matthew, Jane, Josie, and Ruby. Using selective interview techniques, he obtained a confession from a newer employee, Josie, who admitted to stealing $10,500 due to financial pressures. She was ordered to repay the full amount, and the brewery recovered part of the funds.

Selective Interview Techniques

Mike assessed truthfulness through behavioral cues and structured questions. He built rapport by discussing personal interests: Matthew's baseball, Jane's single motherhood, Josie's pet turtle, and Ruby's volunteering. This established a baseline for honesty. He asked seven questions, noting good (direct, consistent) and bad (vague, evasive) answers:

- **Why are we meeting?** All acknowledged the theft investigation.
- **Was money taken?** Matthew, Jane, and Ruby confirmed the theft (good); Josie suggested an accounting error (bad, deflecting).
- **Who might be involved?** Truthful employees named suspects: Matthew (Ruby, Josie); Jane and Ruby (Josie); Josie initially avoided naming anyone, later shifting blame to Jane (bad, evasive).
- **Who wouldn't be involved**? Matthew and Ruby vouched for others (good, confident); Jane distrusted all, Josie vouched for none (bad, noncommittal).
- **Who had the opportunity?** All noted broad access (neutral); Josie's blame-shifting to Jane was evasive (bad).

- **What should happen to the thief?** Matthew, Jane, and Ruby favored prosecution (good); Josie vaguely said, "There should be consequences" (bad, vague).
- **Second chance?** Jane and Ruby opposed (good, typical of innocence); Matthew and Josie were open (bad for Josie, suggesting leniency).

Mike observed that Matthew was nervous yet straightforward, Jane was agitated and defensive, Josie was tense and soft-spoken, and Ruby was tense but cooperative. Josie's vague responses raised suspicions, as guilty individuals often give noncommittal answers, unlike others' directness.

Non-confrontational interrogation techniques:

After interviews flagged Josie, Mike used non-confrontational methods for an ethical confession:

- **Developing Rapport:** He shared relatable financial struggles to foster empathy and build trust.
- **Establishing Credibility:** He subtly referenced tools like covert cameras, implying the presence of evidence without directly accusing.
- **Providing an Opportunity to Save Face:** He framed the theft as a pressure-driven mistake, even citing a similar case.
- **Building a Sense of Urgency:** He emphasized that the company needed answers soon, encouraging cooperation.
- **Soft Accusation:** He asked, "When was the first time you took money?"—a strategic question that led Josie to admit to both the $500 and $10,000 thefts.

Josie confessed $10,000 to cover a car repossession and overdue bills, in addition to a previous theft of $500 for family expenses. She kept half of the $10,000 but agreed to repay it. The brewery sought to recover the stolen funds, which led to her prosecution and a brief sentence. Mike used structured interviews and non-confrontational methods to distinguish between truth and deception. By analyzing behavioral cues and allowing Josie to explain her motives, he obtained a voluntary confession that adhered to ethical and legal standards. This case demonstrates how effective interviewing can reveal both fraud and the underlying pressures that contribute to it, striking a balance between justice and empathy.